



MEXICO TARIFF HIKE IMPACT ON INDIAN EXPORTS

EXECUTIVE SUMMARY

Mexico has approved a significant change in its import tariff regime, imposing duties of up to 50% on goods originating from countries without a Free Trade Agreement (FTA), including India. Effective January 1, 2026, this policy marks a decisive shift toward protectionism, broadly aligned with recent U.S. trade measures. Given India's non-preferential trade status with Mexico and the concentration of Indian exports in tariff-sensitive sectors, the move has material implications for exporters, supply chains, and long-term trade strategy.

This whitepaper provides a structured analysis of the policy change, baseline trade exposure, sector-wise impact, regulatory developments, and strategic considerations—without altering the underlying facts or data points.

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MEXICO TRADE SHIFT: TARIFFS AND COMPLIANCE CHANGES FOR INDIAN IMPORTS

Tariff Changes

- Mexico's Congress has approved a new tariff regime imposing **import duties up to 50%** on goods from countries with no Free Trade Agreement (FTA), including India. These tariffs will come into force from January 1, 2026.
- This move broadly aligns with recent U.S. protectionist trade policy and is meant to shield domestic producers.
- It applies to over 1,400 product lines, significantly more than the average tariff structure previously.

Mexico's non-preferential trade position makes India a direct target for these measures.



Regulatory Compliance Changes

- Alongside tariffs, Mexico is rolling out an Electronic Value Manifestation (MVE) system requiring stringent value reporting – adding compliance cost burdens for Indian exporters starting April 2026.

2) KEY TRADE FIGURES: BASELINE INDIA-MEXICO TRADE

According to trade data, India exported approximately US\$5.6 billion worth of goods to Mexico in 2024, with vehicles, electrical-electronic products, machinery and chemicals among the leading components of this export mix.

When compared with India's total merchandise exports of around US\$434 billion in 2024, exports to Mexico account for roughly 1.3 percent of India's overall export portfolio, highlighting the strategic but relatively concentrated nature of this bilateral trade relationship.



3) MOST AFFECTED INDIAN EXPORT SECTORS

Mexico's tariff decision isn't sector-agnostic — it targets import lines where Indian suppliers have significant market share.

A. Automotive and Auto Components — Maximum Downside Risk

- Vehicles constitute a major share of India's exports to Mexico, especially passenger cars and two-wheelers.
- Around \$1 bn + of Indian auto exports, including shipments by major makers (e.g., Hyundai, Volkswagen, Maruti), could see competitiveness erosion due to a jump in duties from ~20% up to 50%.
- Auto parts and components are also tariff-sensitive and face similar headwinds.

Sector impact profile: highest export value + most tariff exposure = strategic vulnerability.



B. Metals & Heavy Machinery

- Iron and steel exports worth about \$900 million a year will now be subject to 35–40% tariffs, delivering a major setback to companies such as Tata Steel.
- Mexico has domestic capacity or preferential sources for these goods, amplifying tariff pressure on Indian suppliers.

C. Textiles, Apparel & Consumer Goods

- Broader tariffs spanning textiles, clothing, leather goods, plastic products and furniture have been reported in regulatory texts.
- Textile, apparel, and footwear exports worth roughly \$500–600 million will now face steep duties of 30–35%, likely squeezing out mass-market products and leaving room only for premium, niche offerings to remain viable.



D. Pharmaceuticals and Chemicals

- Organic chemicals and pharmaceutical exports valued at roughly \$400 million will face tariffs of 15–30%, a relatively moderate hit that could still allow generic drugs to stay competitive.



4) BROADER STRATEGIC IMPLICATIONS

Short-term headwinds

- Higher import duties materially erode price competitiveness for Indian suppliers in Mexico.
- Automotive and metals exporters face immediate market-access risks.
- Indian companies could see inventory backlogs and margin compression.

Long-term structural considerations

- Indian exporters and trade policymakers are reportedly advocating for a formal FTA with Mexico to mitigate tariff risk. Moneycontrol
- Diversification of export destinations and supply-chain re-routing may become imperative.



5) SUMMARY: SECTOR IMPACT RANKING (2026-ONWARDS)

Sector	Expected Impact	Rationale
Automotive & Auto Components	Very High	Largest export share + steep tariffs
Metals (Steel/Aluminium) & Heavy Machinery	High	Price-sensitive capital goods
Textiles, Apparel & Consumer Goods	Moderate to High	Competitive segment under tariff pressure
Pharmaceuticals & Chemicals	Moderate	Essential goods with some demand inelasticity



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